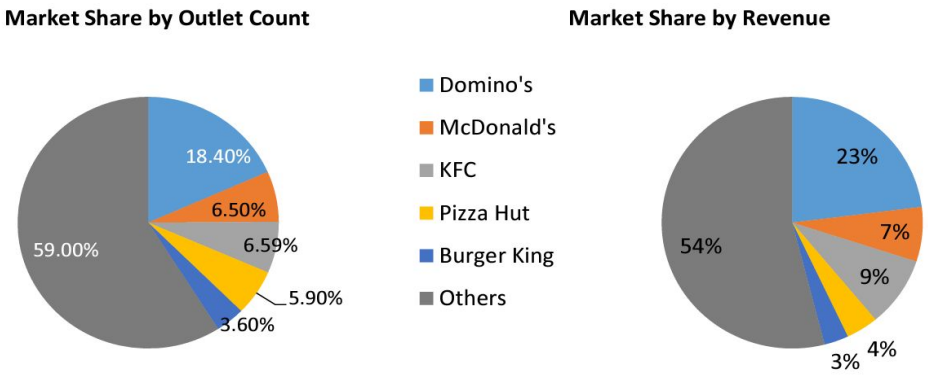
pizzatwist®

# Brand Strategy for India

# Let’s take a look at Indian Market First

*Exhibit 85: Market Share of Key Brands in Chain QSR Market – FY 2021*

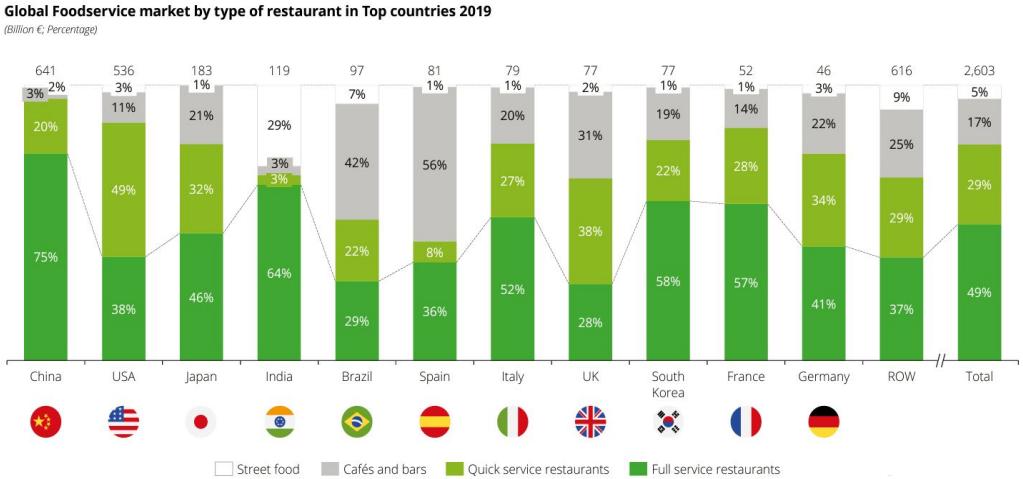



- Top Players control 46% of market

*Source: Technopak Research & Analysis*
*McDonalds Revenue data only for Westlife*

**Advertisment and Sales Expense of QSR Players % of Net Sales (FY21)**

| Company | Brands | Advertisment and Sales Expense |
|---|---|---|
| Jubilant Foodworks Ltd | | 8.42% |
| Devyani International Ltd | | 5.83% |
| Sapphire Foods India Ltd | | 3.82% |
| Westlife Development Ltd | | 4.52% |
| Restaurant Brands Asia Ltd | | 5.26% |
| Coffee Day Enterprises Ltd | | 0.36% |



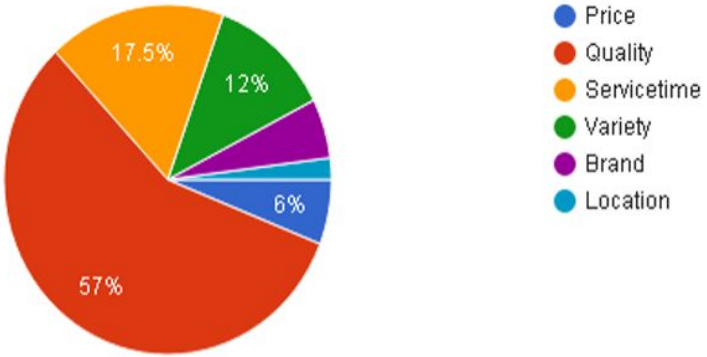
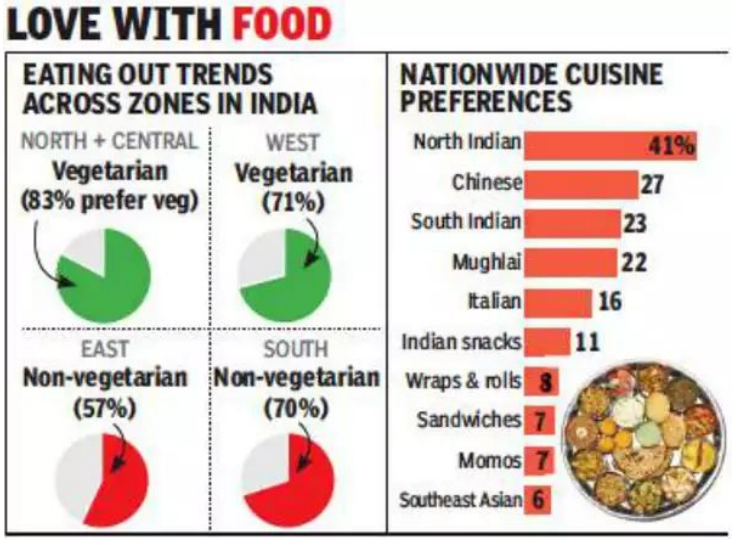



**Fig.1 showing reason for making a particular QSR as customer's favorite.**




# To explore Market behavior

Source:
Published By: Blue Eyes Intelligence Engineering & Sciences Publication

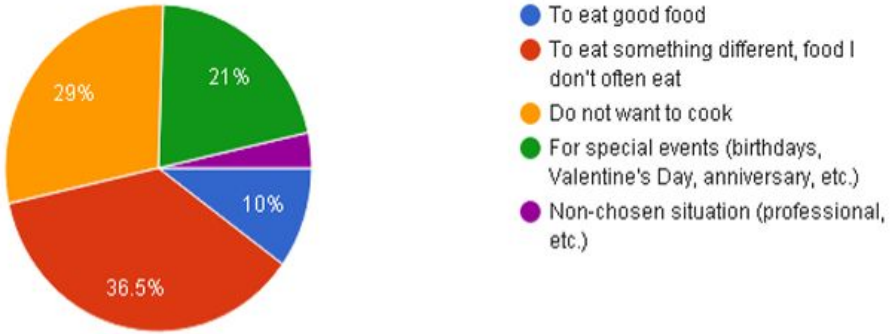
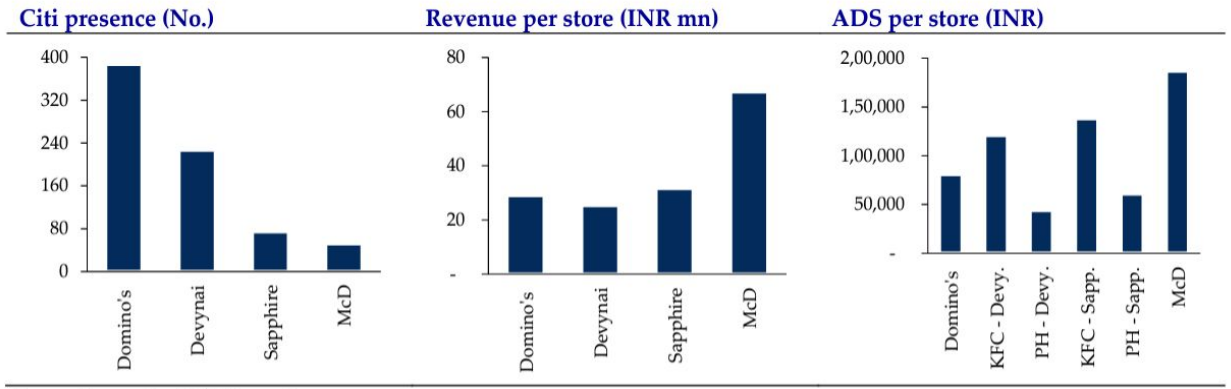



**Fig.2 showing main reasons for visiting to QSRs by customers.**

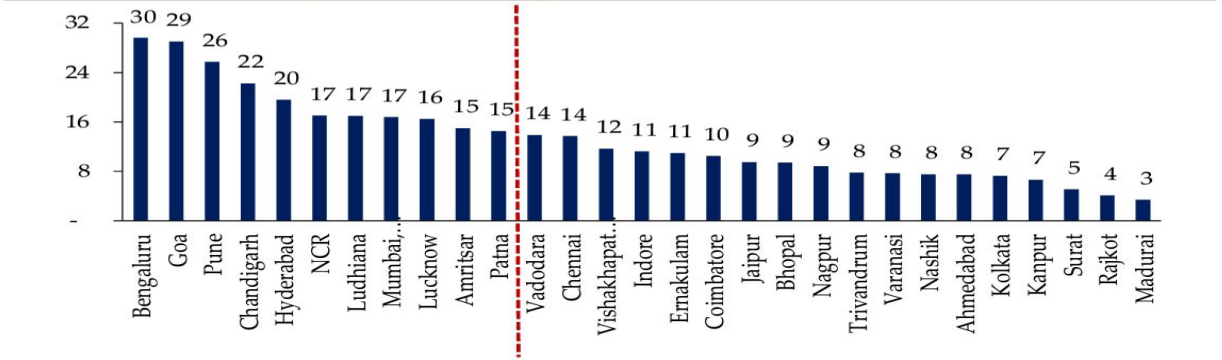
# City wise Market Overview

India total has 3 stores per mn population expected to increase to 6.




Source: Companies, HSIE Research

**Exhibit 2: India's top-30 cities store per mn at 15 stores**




Source: Companies, HSIE Research

- A successful chain based FSR can expect ₹ 1L+ daily sales
- Stores per mn population has direct correlation with per capita income of the area.
- According to Times Report Bengaluru has highest Ticket Size, North Indian preference
- Delhi has highest frequency per capita but low average ticket size

| CITY | City Type | Chain Market (INR BN) | Organised Standalone (INR BN) | Per Capita Income | CAGR (FY 2016-20) | Population (MN) | No. of restaurants |
|---|---|---|---|---|---|---|---|
| Mumbai | Mega Metro | 84.1 | 163.5 | UDS $23,000 (PPP) | | | 87,000 |
| Pune | Mini Metro | 25.8 | 56.9 | Rs. 2,56,936 | 11.30% | 8.4 | |
| Banglore | Mini Metro | 51.8 | 78 | Rs.621131 | 10.90% | 10.6 | 42,000 |
| Chandigarh | Tier 1 | 5.9 | 7.9 | Rs.3,33,932 | | | 641 |
| Mohali | Tier 1 | | | Rs.1,73,873 | | | 534 |
| Panchkula | Tier 2 | | | Rs. 2,70,000 | | | 388 |
| Delhi | Mega Metro | 84.1 | 157.5 | Rs. 3,65,529 | 7.70% | 28 | 32,777 |
| Noida | Tier 1 | | | Rs. 6,71,000 | | | |
| Gurugram | Tier 1 | | | Rs. 7,41,000 | | | 1390 |

# Audience

| Type of Chain | Positioning | Target Group/ Pricing | Ambiance | Locations |
|---|---|---|---|---|
| **Café** | Tea-Coffee centric with limited focus on food | 15-45 years/ Affordable | Relaxing, "catching up" and unwinding. | Malls, high streets, popular markets, office complexes, airports, hospitals, highways, educational campuses |
| **Quick Service Restaurants (QSRs)** | Specific product offerings or cuisines with focus on value, speed and convenience | 15-35 years/ Affordable | Functional interiors. Compact seating with self-service. | Malls, high streets, popular markets, office complexes, airports, hospitals, highways, educational campuses, multiplexes |
| **Frozen Desserts/Ice-Cream (FD/IC)** | Focus on ice-creams and frozen yoghurt with limited options for snacks/ beverages | 18-35 years/ Affordable | Colourful, fun. Focus on Takeaways | Malls, high streets, popular markets, office complexes, airports, highways, educational campuses, multiplexes |
| **Casual Dining Restaurants (CDRs)** | Focus on moderately priced food and table service to high quality, presentation and service driven | 20-50 years/ Affordable to Premium | Casual fun environment to upmarket environment with design led ambiance. Regular seating with table service | Malls, high streets, popular markets, office complexes, airports, hotels, Food Hubs |

*: Format Preference in the age Group of 15-34 Years FY 2020*

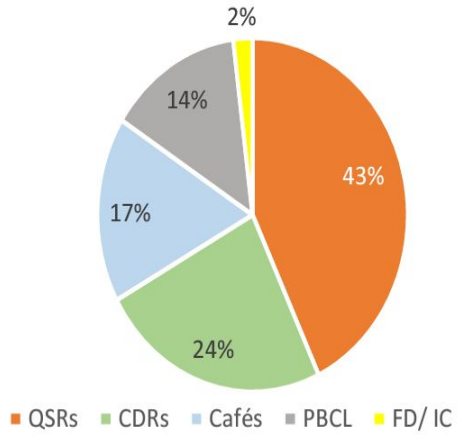
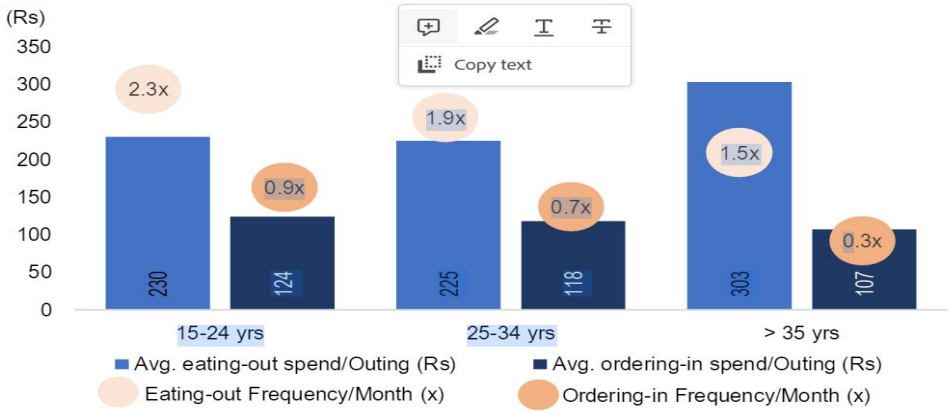



*Exhibit 8: Median Age: Key Emerging & Developed Economies (CY2021 Estimated)*

| Country | India | China | USA | Singapore | Russia | Korea | Canada | UK |
|---|---|---|---|---|---|---|---|---|
| Median Age (Yrs) | 28.1 | 37.4 | 38.1 | 34.6 | 39.6 | 41.8 | 42.2 | 40.5 |

*Source: World Population Review, Technopak Analysis*

**Exhibit 3: Average eating-out and ordering-in frequency is highest among the millennials**




*Source: Technopak, Nirmal Bang Institutional Equities Research*

## *Exhibit 95: Eating-out and Ordering-in Frequency (15-34 Yrs.) FY 2020*

| Age Group | Eating-out Frequency/ Month | Ordering-in Frequency/ Month | Average Spend per Outing (INR) | Average Spend per Order (INR) |
|---|---|---|---|---|
| 15-24 yrs. | 2.3 | 0.9 | 230 | 124 |
| 25-34 yrs. | 1.9 | 0.7 | 225 | 118 |
| > 35 yrs. | 1.5 | 0.3 | 303 | 107 |

*Source: Technopak Research & Analysis*

# The Market Evolution

**Exhibit 1: Evolution of food services industry in India since 2000**

| PHASE I (2001-2010) | PHASE II (2010-2016) | PHASE III (2016 Onwards) |
|---|---|---|
| Formats started getting defined in terms of QSR, CDR, FDR etc. | Driven by consumer needs, clear distinction between formats in terms of price points started emerging | Food aggregators & cloud kitchens started growing |
| Focus restricted to metros & tier I cities | Industry players started focusing beyond Tier I cities | Prominent growth in Tier II cities with cluster saturation in Tier I cities |
| Franchisee models were prominent and partnerships & JVs were being explored | JV structure gained prominence. P/E-backed ventures started emerging | Expansions of brands and emergence of new concepts took place |

*Source: Technopak, Nirmal Bang Institutional Equities Research*

*Note: QSR = quick service restaurants; CDR = casual dining restaurants; FDR = fine dining restaurants*

# What's Post Covid?

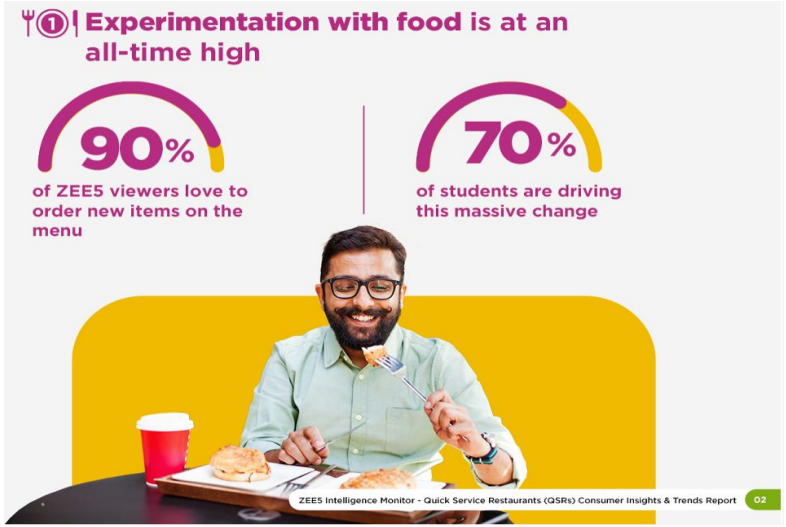
- Aggregators are important and their numbers are increasing
- More and more aggregators are going to the T2 and beyond
- Sudden rise in online revenue as a percentage of total revenue
- No. of orders online are way too higher post covid then they were before Covid
- 2023 trends show even higher number of orders from aggregators
- Around half of brand-owned app orders are just Dominos

Source: Zee5 research on its consumers (2021-2022)
Zee 5 is an OTT platform with 120 million daily active users

# Which format is more attractive

| Key Segments in the Food Services Market | | Average Spend per Person* (INR) |
|---|---|---|
| Unorganized Segment – **It includes roadside eateries and dhabas which have been the most common eating out option.** | | 10-100 |
| Restaurant in Hotels - **A full-service restaurant with premium interiors, specific cuisine specialty and high standard of service mainly present in premium Hotels. E.g. The Great Kebab Factory, Bukhara etc.** | | >1000 |
| Organized Segment – **Consists of:**<br>**a) Standalone restaurants across all formats with less than 3 outlets.**<br>**b) Chain format which has 3 or more outlets across all formats.** | | |
| **Chain Segment** | | |
| 1. **Café** | Coffee & chai bars as well as parlours and bakeries. High focus on beverages supported by food items. E.g.: Starbucks, Café Coffee Day, etc. | 50-250 |
| 2. **Quick Service Restaurants (QSRs)** | Focused on speed of service, affordability and convenience. Strong focus on takeaway & delivery with minimal table service. E.g.: Dominos, McDonald's, KFC, Pizza Hut | 75-300 |
| 3. **Frozen Desserts/Ice-Cream (FD/IC)** | Comprises small kiosk formats of ice-cream brands and has now extended the dine-in concept to frozen yogurt brands. E.g.: Baskin-Robbins, Red Mango etc. | 50-150 |
| 4. **Casual Dining Restaurants (CDRs)** | A restaurant serving moderately to high priced food in an ambience oriented towards providing an affordable dining experience, with table service along with some restaurants offering eclectic high quality interiors and high standards of service. The offerings bridge the gap between QSRs and fine dining restaurants. E.g.: Farzi Cafe, Barbeque Nation, Oh! Calcutta, Sagar Ratna, Moti Mahal Delux etc. | 250-1000 |

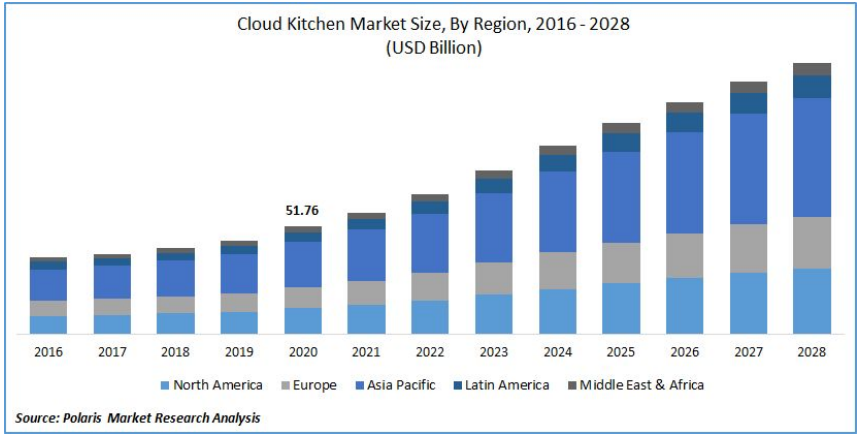
- How much user care when ordering online?
- How we want to establish our brand ?
- What gives us the best ROI?

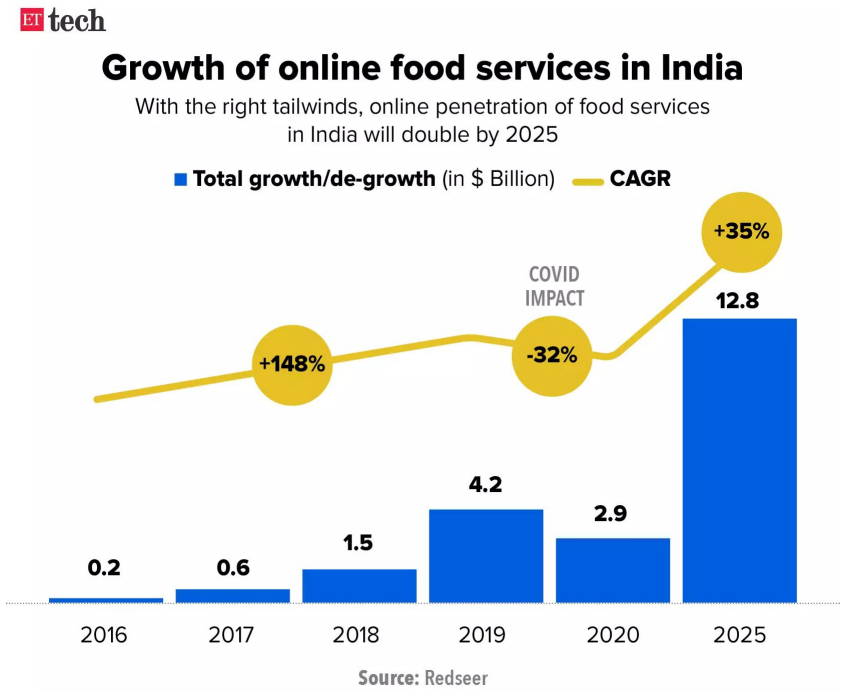


# The biggest trend shift - Cloud Kitchen

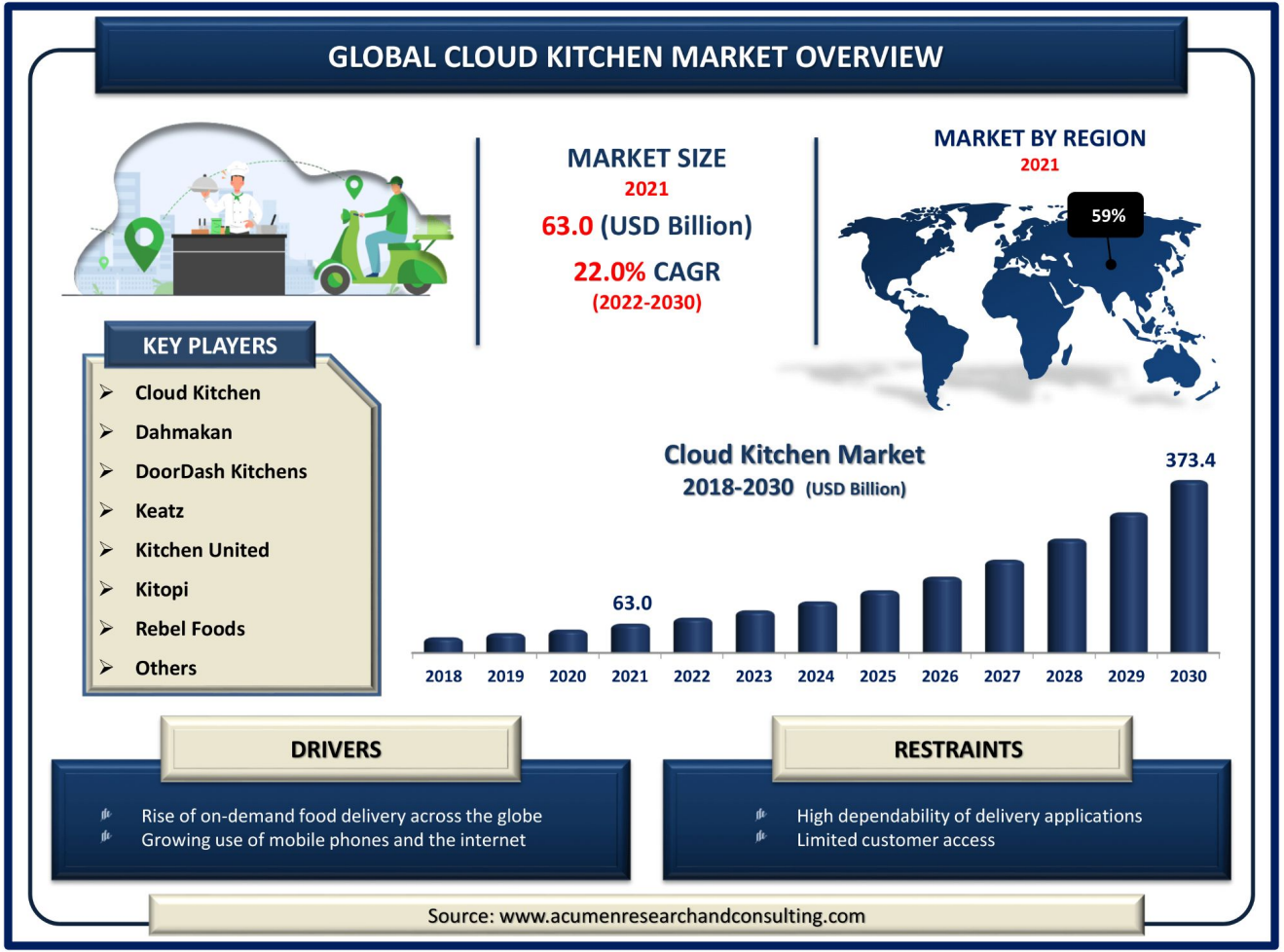
- The number of all night/ late-night
- The cloud market is projected 400 million dollars in 2019 to 2 billion dollars by 2024
- And 21 billion USD by 2027
- CAGR of 30%

Source: TOI



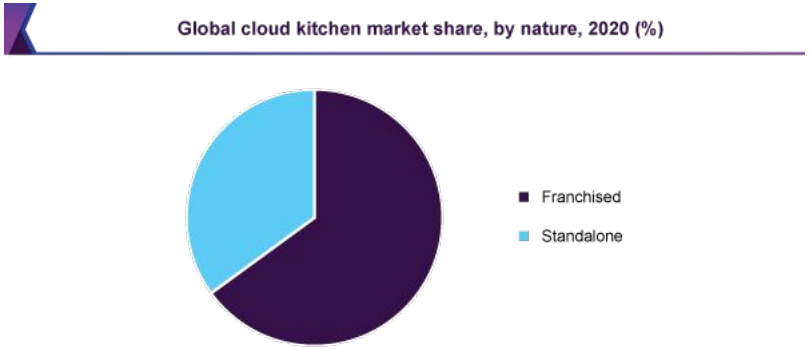



India is one of the hottest market for Cloud Kitchen throughout the globe



# Cloud Kitchen can be Franchise Sellers

- Some store can operate for orders only if allowed by the location. Chandigarh Mohali does allow it
- We can create multiple cloud kitchens quickly as way well before opening the store so big problem of Franchises will be sorted
- Can be a part of the package deal
- There can be multiple cloud kitchens quickly due to less cost
- Can be open around the clock or late night
- We just need FSSAI license to run cloud kitchen
- In the cloud kitchen model, the location doesn't have to do anything with footfalls, parking space, and high-end site.




Source: www.grandviewresearch.com

# Options for Brand

- International Brand with North-Indian Menu
- National Brand with international Stores
- An Indianised International Brand
- A fresh Branding

We want to use Product Extension for Menu and New/Derived Brand for Marketing and experience.

Example

Product Extension - Starbucks, Pizza Hut,

Derived Branding - Burger King, Mcdonalds

# What that means

- Create a new fresh Brand identity for India and make it westernised
- But at the same time use same/very similar pizza menu

# The Implications

| What changes from US Brand | What remains similar |
|---|---|
| Sizes | Names/Flavours |
| Ticket size/prices | Taste |
| Branding | Experience |
| Primary Channels | T&D (Operational ease) |
| Store Size and Physical aesthetics | Store Graphics & Interiors |
| Deals | |
| Add on Menu | |

# Observations from Indian Market

- Giant Slice
- Small Pizzas 6”
- High percentage of online orders
- Number of orders from third party
- Cloud Kitchen/ Virtual Kitchen
- Low Entry Ticket Price

# Let’s see Chicago Pizza and why we care about it

- 120+ Stores, started with single outlet in Delhi NCR
- It has clocked over 150% growth in sales in the current fiscal
- The Name and Menu Style

## Franchise Facts

| Model | Area | Investment | Franchise Fee | Target City | Target Area |
|---|---|---|---|---|---|
| Standalone | 350 Sq. ft. | INR 20-25 lacs | INR 7 lacs | Delhi & NCR (Unit)<br>PAN India (Multi-Unit) | High street / malls, commercial places, business hubs, airports / multiplexes |
| Takeaway | 150 Sq. ft. | INR 15-20 lacs | | | |

chicago pizza ®
big slices, really fast

**Founded:** It was founded in 2014 in Gurugram, Haryana.
Delhi/Noida = 40+
Mumbai = 10
Chandigarh = 7
Hyderabad= 3
**Entry Price**: ₹ 100<
Average Price: ₹ 300+
**Varieties:**
1. Deep dish
2. Thin crust
3. Stuffed
4. Vegan
5. Gluten-free

# What’s unique to look at

- Do it yourself package
- Giant Pizza Slices and 18” 8 variety slice pizzas
- Around 3 to 3.5 ratings on all platforms for most upcoming franchise but good number of votes
- Most selling pizzas are the basic pizzas which are very different from Dominos and Pizza Hut or even La Pinos
- Looking for external investment

# What changes from the US Market for Pizza Twist

- The audience size for Vegan Pizza is very question
  - Domino’s introduced one in 2020, but hasn’t brought more
  - No other major Pizza chain including Pizza Hut has Vegan Pizza
- All major Food chains use Halal Chicken and Meat but don’t mention it until asked directly
- We can only have Chicken, Mutton and vegetarian items in the menu. So no 5 main categories
- The delivery fees in India is very less and we can use aggregators delivery options

# Recommendations on Menu

- Premium/Overloaded to simplify menu items instead of toppings
- Best taste pizzas in the lowest ticket prices
- Small and Simple Menu
- Names can be same as they are in the USA

*Exhibit 94: India Centric Food Offerings by Key Brands*

| Brands | Total Food Offerings | India Specific Offerings | % of India Specific Products in Menu |
|---|---|---|---|
| Domino's | 50 | 12 | 24% |
| Subway | 35 | 12 | 34% |
| Pizza Hut | 44 | 11 | 25% |
| McDonald's | 35 | 12 | 34% |
| Burger King | 38 | 16 | 42% |
| KFC | 13 | 4 | 31% |

*Source: Brands Website, Restaurant Discovery Platforms*
*Food Offerings does not include beverages, desserts and dips and variations of the core products e.g. type of base or bun*

| Time Frame | Meals Based QSR | Snacks Based QSR |
|---|---|---|
| Players | Dominos, McDonald's, KFC, Pizza Hut | Wow Momo, Goli Vada pao, Rolls King, Kathi Junction |
| Ticket Size (2015) | INR 675 -INR 700 | INR 150-INR 175 |
| Ticket Size (2020) | INR 750 – INR 775 | INR 200 – 225 |
| Growth Rate (CAGR 2015-20) | 2.1% | 2.9% |

*Source: Technopak Research & Analysis*

## *Exhibit 95: Eating-out and Ordering-in Frequency (15-34 Yrs.) FY 2020*

| Age Group | Eating-out Frequency/ Month | Ordering-in Frequency/ Month | Average Spend per Outing (INR) | Average Spend per Order (INR) |
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| 15-24 yrs. | 2.3 | 0.9 | 230 | 124 |
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| > 35 yrs. | 1.5 | 0.3 | 303 | 107 |

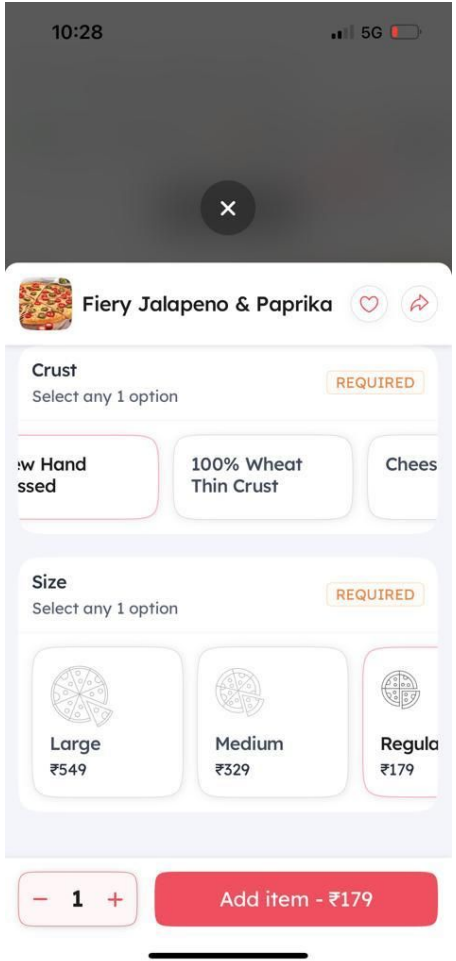
*Source: Technopak Research & Analysis*

# Overloaded feature for Entry Pizza

## Problem Statement

*Only one-topping pizzas can be very cheap (< ₹ 100) but do we really want to users to try our brand with that pizza ?*

- We need to Focus on the low ticket size on the online orders
- Online is where people get to taste your brands in India
- Need low-prize entry but it should taste premium
- Most low cost entry pizza have very little toppings but are very cheap



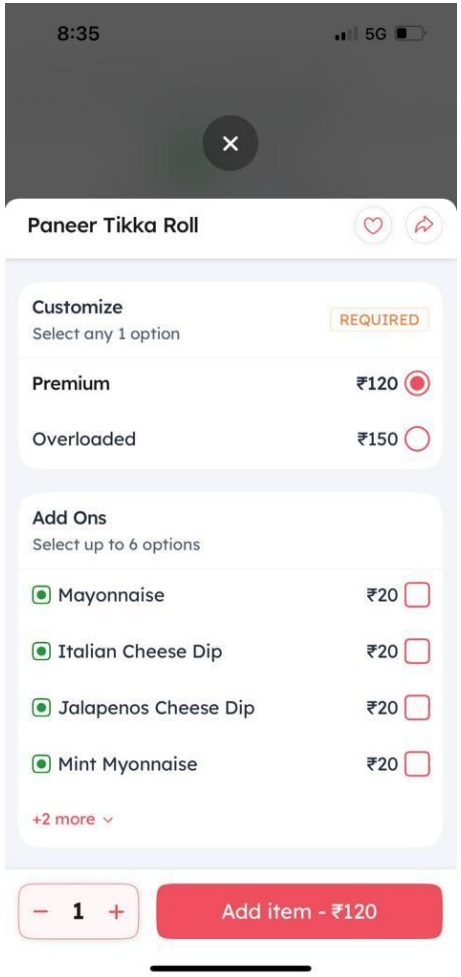
# HOW?
# Make an added Overloaded Feature

Entry 2-Topping 6” Pizza should be priced between ₹ 140 to ₹ 199.

Entry Speciality pizza should be priced ₹189 to ₹ 249

Instead of having individual toppings as addons we can have just 2 add-ons

1. Extra Cheese - ₹ 30 - ₹ 50
2. Overloaded - ₹ 49- 80



| Top Brands | Size/Market | Type/Category | Origin | Avg. Ticket Price | USPs/Pizza Styles |
|---|---|---|---|---|---|
| Chicago Pizza | Delhi/Noida = 40+<br>Mumbai = 10<br>Chandigarh = 7<br>Hyderabad= 3 | 1. Deep dish<br>2. Thin crust<br>3. Stuffed<br>4. Vegan<br>5. Gluten-free | founded in 2014 in Gurugram, Haryana. | INR 500 | 1. Thick crust<br>2. Abundant cheese<br>3. Thick sauce |
| Sbarro | Mumbai= 20+<br>Delhi/Noida= 10<br>chandigarh= 5<br>Hyderabad= 3<br>**Chennai= 4**<br>**pune= 2**<br>Ahmedabad= 2 | New York-style pizzas<br>Calzones<br>Salads<br>Pasta dishes<br>Desserts<br>Deep dish<br>Stuffed | Melville, New York, United States | INR 500 | 1. Fresh-baked pizzas<br>2. Variety of Italian dishes<br>3. Convenient locations<br>4. Affordable prices<br>5. Friendly service |
| PizzaExpress | Mumbai= 19<br>Delhi/Noida= 8<br>chandigarh= 5<br>Hyderabad= 3<br>**Chennai= 3**<br>**pune= 3**<br>Ahmedabad= 2 | Margherita<br>Deep dish<br>Stuffed<br>Personalised pizzas<br>Gluten-free pizzas<br>Vegan pizzas | 1965 in London, England | INR 450 | 1. Casual dining experience<br>2. Delectable desserts<br>3. Creamy pasta dishes<br>4. Variety of toppings\<br>5. Authentic Italian pizzas |
| Brooklyn Pizzeria | Delhi/Noida= 2<br>Mumbai= 1 | New York-style pizzas<br>Chicago-style pizzas<br>gluten-free pizzas<br>personal pizzas<br>vegan pizzas | Brooklyn, New York | INR 500 | 1. Authentic New<br>2. York-style pizza<br>Variety of toppings<br>3. New York-style cheesecake |

# The question of Indian Brand vs US Brand

## 2 International and Indian QSRs attract contrasting consumer cohorts

**63%** of salaried individuals prefer International QSRs for superior ambience

**68%** business community prefer Indian QSRs, mostly to celebrate special occasions

38% prefer dining at international QSRs because kids love the food and atmosphere. Additionally, 63% of salaried individuals prefer international QSRs because of the ambience. This trend can be attributed to international QSRs offering themed menus, games, and interactive elements that deliver an overall fun experience which elevates the customers' mood.

On the other hand, 35% prefer Indian QSRs for great service and flexibility in customising food, and 68% of the business community prefers Indian QSRs to celebrate special occasions owing to the variety and value on offer. This also points to the tendency of consumers to want a change from the routine

- Data around using Western Names
- We can position it as US brand coming to India sering over 100+ locations globally
- 'Chicago's Pizza Twist' is a better option for the Brand than just 'Pizza Twist'

## 5 Multilocational stores and menu innovations are the key to success for international QSRs

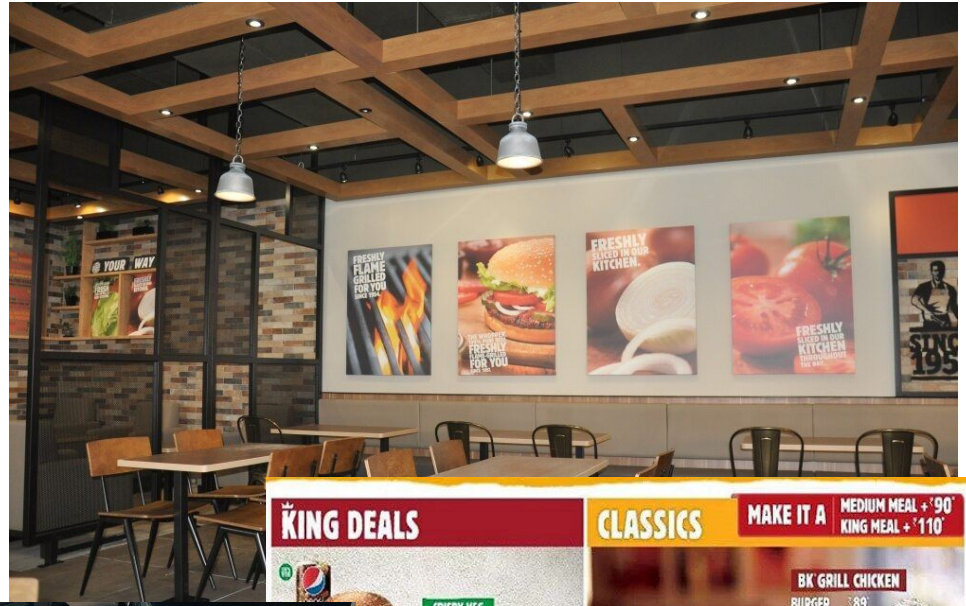
**96%** ZEE5 viewers favour top international QSRs brands

**59%** of consumers are inclined to try new menus introduced by international QSRs

**73%** of users exhibit higher loyalty and stickiness to international QSR brands

# Store Designs in India

- Interior designs are very common in almost all stores. They don't use wallpapers likes us o full wall. Some stores are using it but not covering the whole wall.
- Menu designs are similar like us. If we compare we have more attractive designs.
- For the main person on counter, they use different dress and for the chief, dress is different. Yellow and Red recommended for us.
- No one is offering the beer on the store.
- Mostly the front board on the door is designed same in all stores. Inside view can be different.
- Only Domino's have sofas in the stores others are using wooden chairs



# Some Overviews to Conclude

| | |
|---|---|
| **Bigger is better, for most parts**<br><br>**Smaller store/take-away location in India will make sense if we can do late deliveries at night**<br><br>**There are a lot of US/overseas processes in all metro locations**<br><br>**Millennials are the market drivers**<br><br>**Need to understand behavior and audiences** | **Only McD showed growth in last 2 years**<br><br>**Post Covid market is different than the pre covid trends needs to be understood.**<br><br>**The data available everywhere is till 2021 or 2022. The trends in 2023 can be haywire thus we need to reply on CAGR projections** |

Westlife Foodworld (McD) - More penetration in T1 T2 market with big brand stores help cater to aspirational population. Mcd have highest ratio of Big Brand Stores (term used by the CEO)